

Professional Trading Tutorial - Section 16

Trading Psychology, Decision Fatigue, and Journaling

How to reduce overtrading, preserve mental energy, and convert experience into measurable improvement.

Session Anchor

The conversation emphasized that traders can make only a limited number of high-quality decisions before fatigue sets in. Tools and routines should compress information so students can think about the right things instead of drowning in data.

Student Promise

By the end of this tutorial, students should be able to explain the concept, apply it to a live or replayed chart, and know what evidence would invalidate their interpretation.

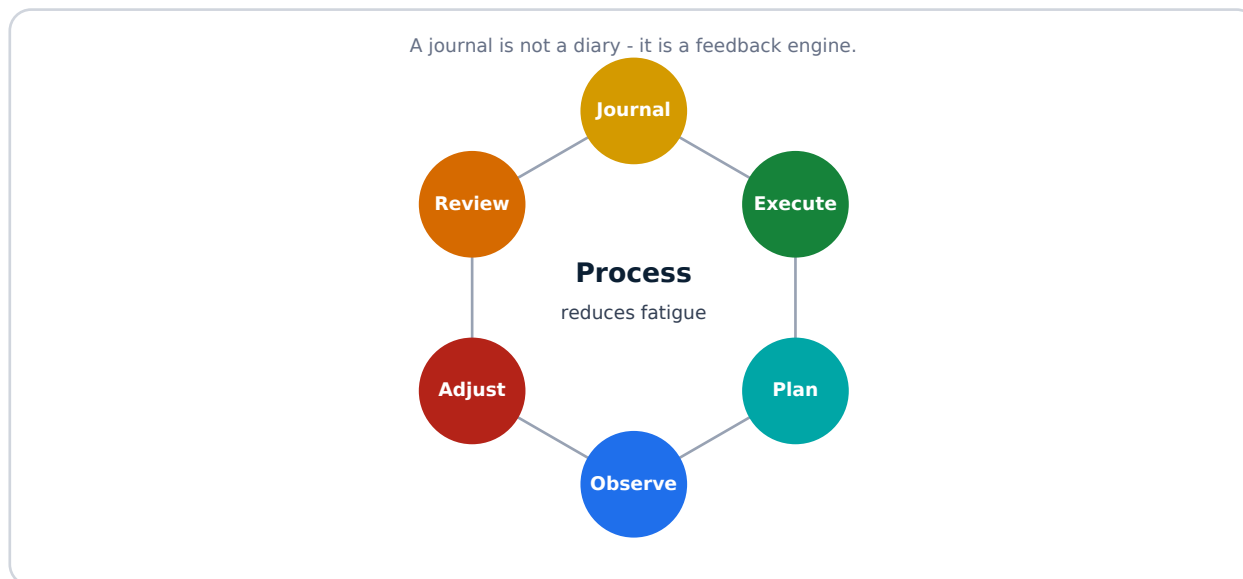
Risk Frame

This document is for education and simulation. It does not recommend buying, selling, shorting, or using options, futures, margin, crypto assets, or leveraged products.

Prepared for student use from the May 14 coaching conversation. Updated May 15, 2026.

Learning Outcomes

- Identify common emotional and behavioral trading errors.
- Explain how decision fatigue leads to overtrading and poor execution.
- Use a trading journal as a feedback engine rather than a diary.
- Create pre-trade and post-trade routines that reduce impulsive decisions.
- Score process quality separately from profit/loss.



Core Teaching Idea

The goal is not to remove emotion completely. The goal is to build a process that keeps emotion from making the trade decision. Journaling, checklists, and review sessions turn trading from random reaction into structured learning.

Professional Frame

A trader's journal should answer: What did I see? What did I plan? What did I do? What changed? What will I improve next time?

Common Biases in Student Trading

Bias / behavior	How it appears	Process correction
Loss aversion	Holding losers too long or refusing to take a planned loss.	Define invalidation before entry and review whether stops were respected.
Overconfidence	Increasing size after one or two wins or assuming a tool cannot be wrong.	Limit size until journal evidence supports the strategy.
Revenge trading	Taking another trade to win back a loss.	Mandatory pause after loss; write what failed before next idea.
Availability bias	Overweighting the most recent trade or news event.	Compare current setup to journal sample size, not memory.
Decision fatigue	Clicking trades late in the session without clear thesis.	Reduce watchlist, use checklists, and stop after process violations.

Decision Fatigue Controls

- Use scanners and indicators to prioritize candidates, not to make trades automatically.
- Limit the number of symbols under active review.
- Use time blocks: preparation, active window, review, break.
- Define a maximum number of trades or paper trades per session.
- Stop trading after two process violations, even if P/L is positive.

The Journal Template

Journal field	Pre-trade or post-trade?	Example prompt
Market context	Pre	What are the market, sector, and instrument doing?
Setup type and grade	Pre	Is this a scalp, breakout, swing, or range setup? What grade?
Readiness grade	Pre	Is this suitable for me today?
Entry thesis	Pre	What exactly needs to happen for entry?
Invalidation	Pre	Where am I wrong?
Emotional state	Pre and post	Calm, rushed, angry, tired, excited?
Execution review	Post	Did I follow the plan?
Lesson	Post	What will I repeat, remove, or refine?

Journaling Standard

The journal is useful only when it is specific. 'Bad trade' teaches nothing. 'Entered before one-hour close and ignored low volume' creates a correction.

Process Scorecard

Students should score the process separately from money. A losing trade can be a good trade if the plan was followed; a profitable trade can be a bad trade if it broke the process.

Score	Meaning	Action
5 - Excellent	Followed checklist, grade, invalidation, size, and journal.	Repeat and collect more examples.
4 - Good	Minor issue but thesis and risk were clear.	Note the small improvement.
3 - Mixed	Some plan was followed, but timing, entry, or exit was sloppy.	Paper trade until consistency improves.
2 - Poor	Entered without full evidence or moved the plan during the trade.	Stop and review before next trade.
1 - Violation	Revenge trade, no invalidation, emotional entry, or oversize.	Session ends; write repair plan.

Instructor Debrief Questions

- Was the setup grade written before entry?
- Did the student wait for the required evidence?
- Did the student trade the right time window?
- Did fatigue or emotion change the plan?
- What one behavior will be corrected next session?

Student Practice Lab

Five-Trade Journal Sprint

Objective: Build a habit of objective review before real-money behavior forms.

Steps

- Students complete five paper trades or chart-replay decisions.
- Every trade must include setup grade, readiness grade, and invalidation before entry.
- After each trade, students score process from 1 to 5.
- At the end, students identify one repeated mistake and one repeated strength.
- Students create one rule for the next session based on evidence from the journal.
- Instructor reviews process score before discussing P/L.

Deliverable

A completed five-trade journal with screenshots, process scores, and one written improvement rule.

Mini-Quiz

1. Why should students score process separately from profit/loss?
2. What is decision fatigue in trading?
3. How does a journal reduce repeated mistakes?
4. Name two emotional biases that affect trading decisions.
5. What should happen after a process violation?

Answer Key

1. Because profitable mistakes can reinforce bad habits, while disciplined losses can be part of a good process.
2. Mental exhaustion from too many decisions, leading to lower-quality judgment and impulsive trades.
3. It creates evidence of repeated behaviors and converts them into specific rules for improvement.
4. Loss aversion, overconfidence, regret aversion, self-control bias, revenge trading, and availability bias.
5. Pause or end the session, record the violation, and create a repair rule before trading again.

External Source Pack

Use the sources below to add outside depth to the classroom explanation. Source titles are clickable in the PDF; if printed, students can search the exact title and publisher.

Source	Why students should read it	Classroom use
CFA Institute - Behavioral Biases of Individuals cfainstitute.org	Explains information-processing and emotional biases such as loss aversion, overconfidence, self-control, and regret aversion.	Use as outside reading for psychology vocabulary.
Brett Steenbarger - Trading Journals traderfeed.blogspot.com	Shows how journals can record market action, charts, and reviews to discover useful patterns.	Use to reinforce journaling as a learning system.
Investor.gov - Day Trading Risks investor.gov	Provides risk warnings for leveraged and sophisticated products often used by day traders.	Use to frame psychology as capital protection.
TradingView / platform documentation tradingview.com	Helps distinguish tools and indicators from trader decision-making.	Use to teach that tools prioritize attention; they do not remove judgment.

Instructor Note

Keep source discussions practical. Students should translate every external idea into a chart question: What do I need to see on price, volume, time, and risk before this idea is actionable?